MOKOBARA INDIA

Offline Store Economics & Retail Expansion Analysis

Internal Strategy Document | April 2026 | Retail Operations & Finance

Executive Summary

This report presents a comprehensive analysis of Mokobara's offline retail store economics as of FY2026. It covers per-store revenue performance, capital investment requirements, payback periods, SAM capture rates, and a forward-looking assessment of the proposed domestic expansion from 10 to 20 stores. The report also includes store design guidelines and visual merchandising standards for internal reference. Sections 1–5 contain financial and operational analysis. Sections 6–10 cover store design, fixture specifications, and VM planogram guidelines.

■5.2 Cr	■2.5 Cr	18 months	0.8%	10
Avg Revenue / Store / Year	Capex per New Store	Store Payback Period	SAM Capture Rate / Store	Current Store Count

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SECTION 1 — CURRENT STORE NETWORK OVERVIEW

Current Store Portfolio — 10 Stores as of April 2026

City	Store Location	Opening Date	Store Size (sqft)	FY25 Revenue (■ Cr)	YTD FY26 (■ Cr)	Status
Bengaluru	Indiranagar (100 Ft Rd)	Feb 2022	1,200	■4.8	■3.2	Flagship
Bengaluru	Koramangala Forum Mall	Oct 2022	800	■5.1	■3.4	Mall
Delhi	Connaught Place	Mar 2023	1,400	■5.6	■3.9	Flagship
Delhi	Select Citywalk, Saket	Jul 2023	750	■5.3	■3.5	Mall
Mumbai	Linking Road, Bandra	Sep 2023	1,100	■5.4	■3.6	Flagship
Mumbai	Phoenix Palladium	Jan 2024	700	■5.2	■3.3	Mall
Pune	Koregaon Park	Mar 2024	900	■4.9	■3.1	Standalone
Hyderabad	Jubilee Hills Road 36	Jun 2024	850	■5.0	■3.3	Standalone
Chennai	T Nagar, Pondy Bazar	Sep 2024	780	■4.7	■3.0	Standalone
Ahmedabad	Prahlad Nagar	Jan 2025	820	■4.8	■3.1	Standalone
TOTAL / AVG	**10 Stores**	**—**	**930 avg**	**■51.8**	**■34.4**	**—**

Note: FY25 average revenue per store = ■5.18 Cr. FY26 annualised run-rate = ■5.15 Cr, tracking to ■5.2 Cr target. Stores in malls show marginally higher footfall but higher rental costs, resulting in similar net contribution margins.

SECTION 2 — PER-STORE UNIT ECONOMICS

Average Per-Store P&L; — FY2026 Steady State (■ Lakhs)

Line Item	■ Lakhs/Year	% of Revenue	Notes
Gross Revenue	520.0	100.0%	Based on 10-store avg; excludes returns
Less: Returns & Exchanges	(12.5)	(2.4%)	Industry-standard 2–3% for luggage
Net Revenue	507.5	97.6%	
Cost of Goods Sold	(248.7)	(47.8%)	Ex-factory + inbound freight + customs
Gross Profit	258.8	49.8%	
Store Rental	(62.4)	(12.0%)	Avg ■5,200/sqft/month across portfolio
Salaries & Allowances	(41.6)	(8.0%)	4 FTEs per store avg; includes PF, gratuity
Utilities & Maintenance	(15.6)	(3.0%)	Electricity, AC servicing, minor repairs
Marketing (local/in-store)	(10.4)	(2.0%)	Local activation, window display budget
Shrinkage & Pilferage	(2.6)	(0.5%)	
Other Store Overheads	(7.8)	(1.5%)	POS charges, packaging, store supplies
Store-Level EBITDA	118.4	22.8%	Before central overheads allocation
Central Overhead Alloc.	(26.0)	(5.0%)	IT, HR, logistics support — allocated
Net Store Contribution	92.4	17.8%	

Payback Period Calculation:

Item	Value	Notes
Initial Capex per Store	■2.50 Cr	Fit-out, fixtures, technology, security deposit
Annual Net Store Contribution	■0.92 Cr	From per-store P&L; above
Simple Payback Period	~27 months	Capex ÷ Annual Contribution
Payback (cash-flow basis)	18 months	Using monthly contribution build-up incl. ramp
Ramp Profile	Month 1–3: 60%, 4–6: 80%, 7+: 100%	Based on FY22–FY25 store cohort data

SECTION 3 — DOMESTIC EXPANSION: 10-TO-20 STORE MODEL

Proposed Expansion: 10 New Stores | FY2026–FY2028

Mokobara targets doubling its store count from 10 to 20 stores across Tier 1 and Tier 2 cities over a 3-year horizon. The incremental revenue model below reflects a phased rollout: 4 stores in FY2026, 4 in FY2027, and 2 in FY2028.

Metric	FY2026	FY2027	FY2028	3-Yr Total
New Stores Opened	4	4	2	10
Cumulative New Stores	4	8	10	—
Revenue per New Store (■ Cr)	■3.1	■4.6	■5.2	—
(Ramp: Yr1=60%, Yr2=89%, Yr3=100%)				
Incremental Revenue (■ Cr)	■12.4	■36.8	■52.0	■101.2
Contribution from Prior Cohorts	■8.4	■4.8	■0.0	■13.2
Total Incremental Revenue	**■20.8**	**■41.6**	**■52.0**	**■114.4**
Capex (■2.5 Cr × stores)	■10.0	■10.0	■5.0	■25.0

SAM Capture Rate & Market Sizing per Store

Each new store is projected to capture 0.8% of the Serviceable Addressable Market (SAM) in its local catchment area. This rate is derived from the FY2022–FY2025 cohort of stores during their second full year of operation, when brand awareness and word-of-mouth effects are fully operational.

City Tier	Target Cities	Local SAM (■ Cr)	0.8% Capture = Rev/Store	Rank Priority
Tier 1 — Metro	Bengaluru 3rd, Mumbai 3rd, NCR 3rd	■650–800	■5.2–6.4 Cr	1
Tier 1 — Large	Pune 2nd, Hyderabad 2nd, Chennai 2nd	■420–580	■3.4–4.6 Cr	2
Tier 2 — Premium	Surat, Jaipur, Chandigarh, Kochi	■280–380	■2.2–3.0 Cr	3

SECTION 4 — RETURNS ANALYSIS & STRATEGIC RECOMMENDATION

Capital Efficiency: Domestic Expansion vs. Alternative Deployments

Strategy	3-Yr Revenue (■ Cr)	Capex (■ Cr)	Rev/Capex Ratio	Risk Level
Domestic Offline Expansion (10 stores)	■114.4	■25.0	4.6×	LOW
SEA Market Entry (SG + MY)	■72.0	■35.0	2.1×	HIGH
Product Line Extension (apparel)	■35–50	■12.0	3.3×	MEDIUM
Digital Marketing Scale-Up Only	■40–60	■8.0	5–7×	LOW-MED

On a pure capital efficiency basis, domestic offline expansion generates the highest absolute incremental revenue (■114.4 crore over 3 years) at the lowest risk and lowest capex intensity. The 4.6× Revenue/Capex ratio compares favourably to all other options evaluated. The 18-month payback on each store provides rapid capital recycling. The board should note that the ■25 crore domestic capex leaves sufficient headroom within the approved ■60 crore budget for supplementary digital investments.

Sensitivity Analysis — Domestic Expansion

Scenario	Revenue/Store Assumption	3-Yr Cumulative Revenue	vs. Base Case
Bear Case (–15%)	■4.4 Cr/yr	■97.2 Cr	–15%
Base Case	■5.2 Cr/yr	■114.4 Cr	—
Bull Case (+15%)	■5.98 Cr/yr	■131.6 Cr	+15%

SECTION 6 — VM PLANOGRAM GUIDELINES (INTERNAL REFERENCE)

Note to Reader: Sections 6–10 contain store design, fixture, and visual merchandising guidelines. These are for the Retail Operations team and are not relevant to the financial capital allocation analysis contained in Sections 1–5.

Visual Merchandising Philosophy — 'Scandinavia Meets Indian Warmth'

Mokobara's in-store experience is guided by the 'Lagom' principle — not too much, not too little. Every store fixture, lighting choice, and product arrangement should communicate ease, quality, and joy. The VM team is the brand's physical voice, and every detail matters.

Core VM Principles:

- Product Density: Maximum 3 SKUs per linear metre of shelf to avoid cluttered appearance
- Hero Product Placement: Transit Pro 24" always at eye level (1.4m–1.6m from floor)
- Colour Blocking: Arrange by colourway, not by size — creates visual impact and Instagram moments
- Empty Space: 30% of any table or shelf surface should be empty — restraint is premium
- Lighting: Warm white LEDs at 3000K; 500 lux on product surfaces; no harsh shadows
- Touch Points: Every hero SKU must be accessible for tactile interaction — no locked displays

SECTION 7 — FIXTURE SPECIFICATIONS & STANDARDS

Approved Fixture Catalogue — FY2026

Fixture Type	Dimensions (H×W×D)	Material	Quantity/ Store	Unit Cost (■)	Supplier
Wall-mounted shelf unit	180×90×35 cm	Powder-coated steel + Oak veneer	8–12	■18,500	Furlenco Commercial
Central island table	75×120×60 cm	Solid walnut + steel legs	2–3	■32,000	Studio Lotus Interiors
Rotating suitcase display	160×60×60 cm	Brushed aluminium frame	3–4	■24,000	Display World, Mumbai
Backpack hanging bar	200×150 cm	Black powder-coat steel bar	2	■8,500	Local fabrication
Checkout counter	95×160×60 cm	Quartz top + walnut base	1	■85,000	The Plank Co.
Branded signage panel	60×90 cm	Backlit acrylic, gold lettering	3–5	■12,000	Sign Solutions
Mirror (full-length)	200×80 cm	Frameless bevelled glass	2	■9,500	Saint-Gobain India
Seating / ottoman	45×80×80 cm	Leather upholstery, steel legs	2–4	■22,000	Pepperfry B2B

All fixtures must be approved by Retail Ops before purchase order. Custom fabrications require sign-off from Design Head. Fixture catalogue updated annually in March. Contact retail-ops@mokobara.com for the latest approved vendor list.

SECTION 8 — STORE LAYOUT GUIDELINES

Standard Store Layout — 800–1,200 sqft Format

The standard Mokobara store is designed for a 'racetrack' customer journey — guiding the shopper from entry through the full product range to the checkout in a natural, unforced flow. The layout below applies to standalone and mall formats between 800 and 1,200 sqft.

Zone A — Entry & Hero Window (0–10% of floor area)

First 2m from entrance. Window display features the current hero SKU in two colourways with minimal signage. No product below 1.2m height in this zone — visual lift is essential.

Zone B — Luggage Core (30–40% of floor area)

Central floor space. Wall-mounted shelving runs the perimeter. Central island holds open/closed suitcase display. Hardtop suitcases arranged by size (cabin → check-in → trunk) on wall; colourways run left to right.

Zone C — Handbag & Lifestyle (25–30% of floor area)

Right side of store. Display bars for backpacks; tabletop display for wallets, pouches, and accessories. This zone should feel slightly softer and more intimate than the luggage zone.

Zone D — Experience Corner (10% of floor area)

A tactile corner where customers can handle Japanese Hinomoto wheels, test USB ports, and inspect lining quality. This zone drives premium conversion — do not compromise on space allocation.

Zone E — Checkout & Wrap (10–15% of floor area)

Checkout counter with branded paper bags. Impulse accessories (luggage tags, travel pouches) positioned at counter. Staff station must have clear sightlines to all zones.

SECTION 9 — LIGHTING, SENSORY & BRAND ENVIRONMENT

Lighting Specifications

Zone	Lux Level	Colour Temperature	Fixture Type	Notes
Entry / Window	800 lux	3500K neutral white	Track spots + recessed downlights	Higher lux for window — draw from street
Luggage Core	500 lux	3000K warm white	Recessed LED panels + accent tracks	Even, shadow-free illumination on products
Handbag Zone	450 lux	2700K warm	Accent spotlights on display bars	Warmer tone — lifestyle feel
Experience Corner	600 lux	3000K warm white	Directional LED spots	High lux to highlight product details
Checkout Counter	400 lux	3000K warm white	Recessed downlights	Comfortable for customer interaction
Emergency/Exit	As per NBC	—	As per National Building Code	Mandatory compliance

Sensory Experience Standards

• Scent: Signature Mokobara scent diffuser ('Cedar & Citrus' blend) in all stores; diffuser positioned near entry and experience corner

• Music: Curated playlist updated monthly by Brand team; 65–70 dB ambient level; no lyrics in Hindi film songs (brand tone mismatch)

• Temperature: Store maintained at 22–24°C; ±1°C tolerance; HVAC must be serviced quarterly

• Tactile: All hardware (zippers, wheels, handles) must be fingerprint-resistant and smudge-free at all times

• Staff Uniform: Slate grey polo + slim trousers; Mokobara badge; minimal jewellery; closed-toe shoes

SECTION 10 — VM EXECUTION CALENDAR & COMPLIANCE

FY2026 VM Campaign Calendar

Month	Campaign Theme	Hero SKU	Window Change	Special Activation
April 2026	Summer Escapes	Transit Pro (Coral)	Yes	IPL travel pop-up
May 2026	Long Weekend Ready	Cabin Max (Black)	Yes	Airport photobooth event
June 2026	Monsoon Moves	Day Tripper Backpack	No	—
July 2026	Mid-Year Bestsellers	Transit Pro (Slate)	Yes	Birthday month offer
August 2026	Independence Collection	Limited Ed. Saffron	Yes	Launch event — Bengaluru
September 2026	Back to Business	Laptop Tote	No	LinkedIn influencer day
October 2026	Festive — Dussehra/Diwali	Gift Bundle Pack	Yes	Gift wrapping station
November 2026	Diwali + Black Friday	Premium Bundle	Yes	Store-wide 15% sale
December 2026	Year-End Travel Season	Transit Pro 28"	Yes	Christmas packaging
January 2027	New Year New Trip	Cabin Max (Coral)	Yes	Travel resolution campaign
February 2027	Valentine's — Couple Bags	Matching Set	No	—
March 2027	Financial Year Refresh	Bestseller Bundle	No	Annual stock clearance

VM Compliance & Audit Process

- Monthly VM audit conducted by Regional Retail Manager via the Mokobara Store Ops app (photo submission required)
- Compliance score of 85%+ required for stores to be eligible for quarterly performance bonus
- Critical failures (Hero SKU missing from window, pricing not updated, fixture damaged) must be rectified within 24 hours
- VM training conducted for all new store staff within first 5 working days of joining
- Store Manager responsible for daily morning walk-through using the 20-point VM checklist

End of Document — Mokobara Store Economics & Retail Analysis | April 2026

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